HDFC Bank Ltd

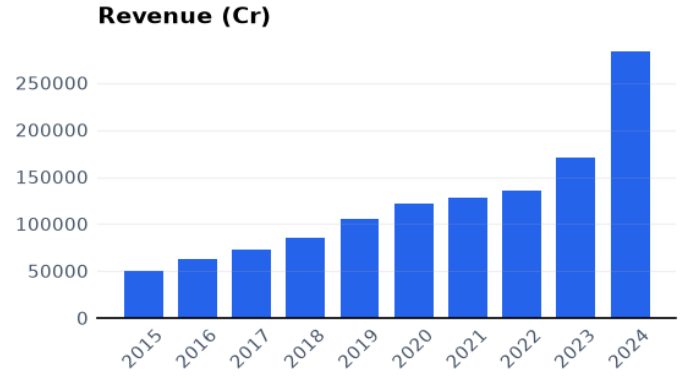
HDFCBANK

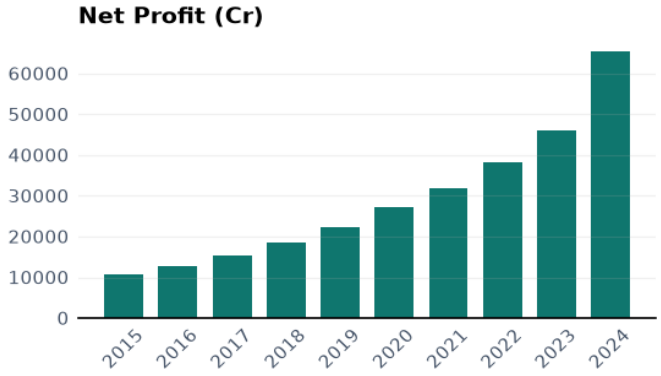
Financials

Company Tearsheet

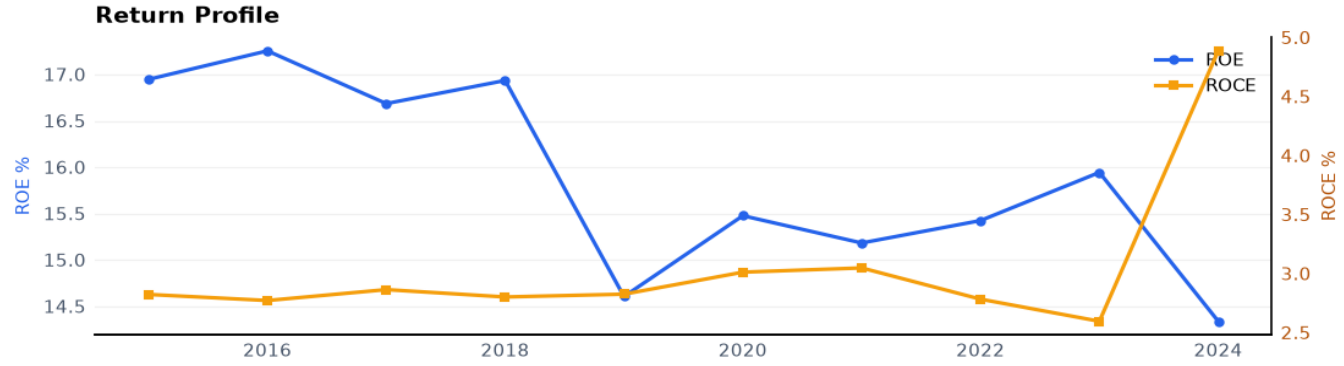
22.0% Revenue CAGR (5Y)	**23.9%** PAT CAGR (5Y)	**14.3%** ROE
4.9% ROCE	**6.81x** Debt / Equity	**0.23x** CFO Quality

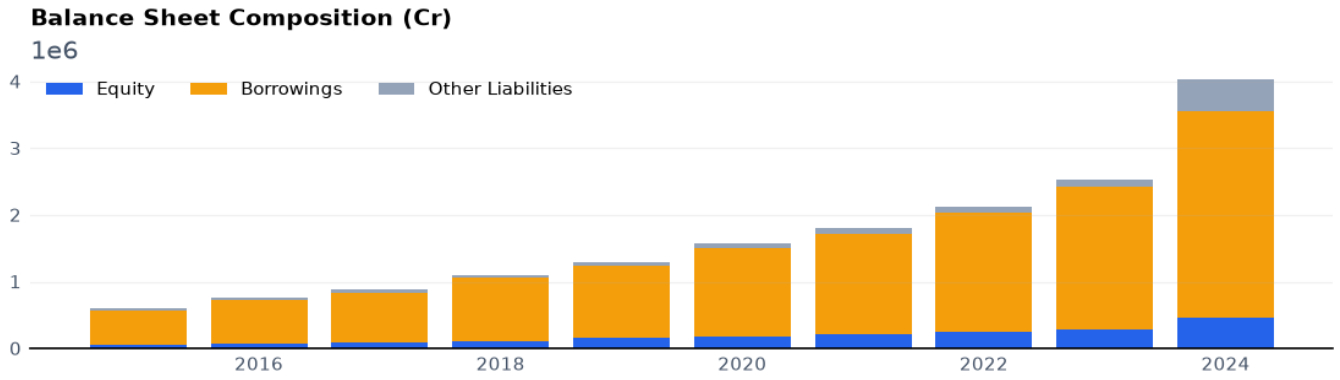
10-Year Financial Performance

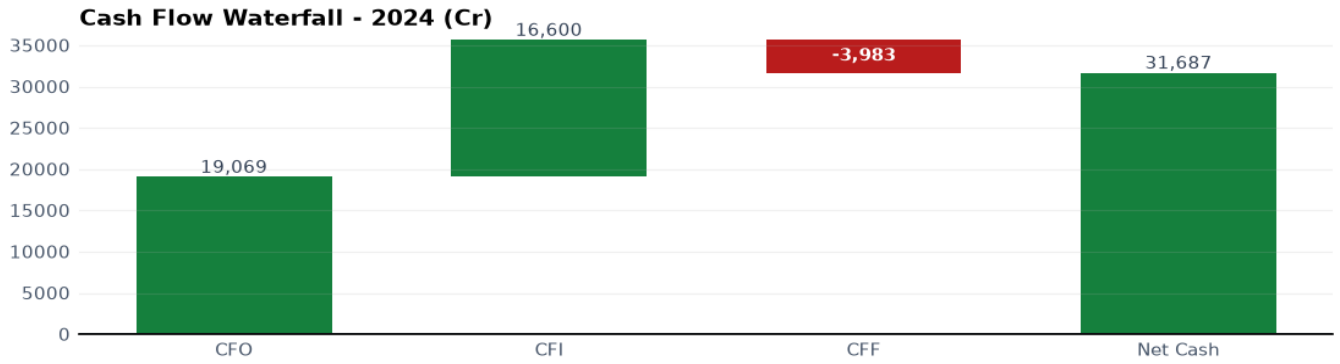




Returns and Capital Efficiency







PROS

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value

CONS

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

CAPITAL ALLOCATION

Liquidating Assets